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RATES SPARK

Rates Spark: Bracing for a hawkish ECB

The European Central Bank is widely expected to hike rates by 25bp today, and we believe this is to be supported by a [hawkish narrative](#). But the scope for markets to turn even more hawkish seems limited. Over the past few days, the curve is already increasingly set on three hikes, which seems stretched



The European Central Bank is widely expected to hike its main refinancing rate from 2.00% to 2.25% with a hawkish tone

The bar has risen for a hawkish surprise from Lagarde

We expect the ECB to hike by 25bp from 2.0% to 2.25%, [supported by a hawkish tone](#), but the bar has risen to surprise markets. Despite oil prices testing new lows earlier this week, the EUR curve is increasingly set on three rate hikes. A confirmation that ECB hikes are indeed happening likely feeds this narrative. Having said that, we don't see much more upside potential in the near term. Unless the data starts showing second-round inflation effects, we struggle to picture scenarios where more than three hikes are necessary.

The hawkish market pricing gives the ECB extra time to act, which means President Lagarde doesn't have to commit to future hikes. Opening the door to July would be part of the more hawkish outcomes. But the curve is already pricing in a 30% probability of that happening, so the question is whether that can still go higher. Having said that, markets are clearly in a hawkish mood. Even a softer US CPI number did little to bring rates down.

A more dovish tilt would likely come from growth risks rising. But we doubt Lagarde will risk sounding too dovish. Inflation expectations as measured through long-term swaps stay well anchored, which will remain an important focus for the ECB. As long as recession risks stay off the table, markets will be more concerned about persistent second-round inflation than growth dynamics. Too much focus on growth concerns by the ECB could change the perceived reaction function and thereby risk raising markets' inflation expectations.

Thursday's events and market view

The ECB is widely expected to hike interest rates by 25bp at Thursday's policy meeting, which will lift the deposit facility rate to 2.25%. The ECB will also release an updated set of economic projections, which most expect to show higher (headline) inflation forecasts for 2026 and 2027, as well as downward revisions to growth.

The US will release producer price data for May as well as the weekly jobless claims data.

In terms of primary market activity, Italy will auction new 3y bonds (€3.5-4bn). The UK also auctions 3y gilts (£5bn), and the US will then auction 30y (US\$22bn) bonds later in the day.

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